

THE FINTECH STORY

These fintech platforms have tied up with NBFCs to offer P2P lending services

Platform	Annual returns (%) *	Earnings credited	Min. investment (₹)#	Premature withdrawal	Partners
BHARATPE-12% CLUB	up to 12	Daily interest	10,000	Any time, no charges	LenDenClub and LiquiLoans
CRED-MINT	up to 9	Daily interest	1 lakh	Any time, no charges	LiquiLoans
MOBIKWIK-XTRA: FLEXI OR PLUS OPTIONS	up to 12.99	Daily interest	1,000	Flexi: Any time, no charges; Plus: Loss of interest	Lendbox
FI-JUMP	up to 10	Daily interest	10,000	Any time, no charges	LiquiLoans

*Actual amount may vary based on investment cycles and allocation by P2P NBFC partners

#You can invest a maximum of ₹50 lakh. For investments above ₹10 lakh, a net-worth certificate is required

Source Company websites

provides information about borrowers, including credit profiles, loan purpose, and interest rates. Also check for disclosures of fees, charges, and potential risks.

What happens if a borrower fails to pay? “A P2P platform can help lenders recover money if a borrower defaults and can also take legal action against the defaulter. However, sometimes it may not yield any result. The investor might lose all of their investment in such a case. Fraud, platform failure, and a lack of liquidity are additional risks,” says LenDenClub’s Patel.

But the platforms are working on ways to mitigate such risks. “Many players deploy robust artificial intelligence (AI) and machine learning (ML) algorithms to provide the lenders’ funds to creditworthy borrowers. The technology helps hyper-diversification of investment funds to as low as ₹1, which tremen-

dously mitigates risk while enabling the lender to earn high returns on their investment. For example, if ₹1 lakh is divided into 50,000 loans with just a ₹2 exposure per loan, it will not impact the returns of the portfolio,” says Patel.

LOOK BEFORE YOU LEAP

P2P lending has gained popularity because of the higher returns offered compared with bank fixed deposits. But there is a catch. While bank deposits have an insurance cover of ₹5 lakh, there is no such guarantee for investments made on a P2P lending platform.

“Compared with fixed deposits, P2P lending carries more risk (hence the higher returns), but it is not as volatile as equities, where investors can witness significant fluctuations within weeks. Investors must recognise that although P2P lending offers appealing re-

turns, they are not guaranteed,” says Raj Khosla, Founder and MD of MyMoneyMantra.com, a financial services company.

Finally, you must understand the timeline of payout offered by the P2P player—whether it credits interest daily, monthly or at the end of the tenure. This is important to know as the payout varies from player to player and should be chosen according to your needs. Moreover, a few players have the option of auto-renewal. If you do not want to stay invested for another year, make sure to do not select the option so that you have money when it is needed.

P2P platforms have made lending to individuals simple and fast. But it is prudent to diversify your portfolio and not bank on just this one avenue. **BT**

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